

Asia-Pacific Oil & Gas

Bernstein Energy: Let the oil flow



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The US-Iran MOU (see [link](#)) is a constructive first step toward reopening flows through the Strait of Hormuz, but uncertainty remains high. Operational details are still unclear, including the timing of vessel returns, availability and pricing of war-risk insurance, and safety protocols for transiting ships. Minesweeping progress and oversight also remain key unknowns. As a result, while flows are set to resume, physical trade is unlikely to normalise quickly given lingering logistical and security constraints.

Although execution risk remains, both sides have clear incentives to de-escalate. For the US, easing geopolitical tensions and stabilising oil prices ahead of midterm elections is politically important. On the Iranian side, the war is increasingly costly, and a deal offers a path to restore oil exports, access frozen assets, and stabilise the domestic economy. Critically, an agreement also supports regime security, allowing the leadership and IRGC to end the conflict while framing the outcome as a strategic win.

The oil market has already absorbed c. 1bn bbls of supply shock through inventories. We estimate a cumulative drawdown of ~1bn bbl globally, spanning ~300mmbbls from SPR, ~450mmbbls from China inventories, ~140mmbbls oil-on-water, and the balance from commercial stocks. This significant drawdown reinforces the importance of restocking once supply flows stabilise.

We expect normalisation to take around six months. This reflects the time needed for minesweeping activities, vessel repositioning, insurance repricing, and rebuilding of port and loading schedules. In addition, tanker availability and backlog clearing could slow the pace of recovery. As such, flows should increase gradually rather than a quick return to normal.

By 2027, we expect the market to shift into a ~2.8mmbbl/d (c. 1bn bbls) surplus, although we anticipate much of this will be absorbed by inventory restocking. This is premised on oil demand returning to normal of c. 106MMbbls/d next year and UAE growing to 5MMbbls/d of supply by year end 2027. Following the recent drawdowns, buyers are likely to rebuild stocks, which should absorb part of the excess supply. We expect broadly inventories will return to pre-conflict levels by end-2027.

Oil prices should remain supported near term in the \$80–90/bbl range in 2026 and 2027. Brent has averaged ~\$87/bbl YTD, and we expect prices to stay close to \$80-90/bbl this year amid tight inventories and gradual supply recovery. Looking ahead, we forecast ~\$78/bbl in 2027, with a stronger 1H and softer 2H profile. Longer term, we anchor at ~\$75/bbl.

BERNSTEIN TICKER TABLE

Ticker	Rating	16 Jun 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
600028.CH (SinoPec)	U	CNY	4.97	4.40	(59.7)%	CNY	0.29	0.36	0.33	17.3	13.7	14.9
386.HK (SinoPec)	U	HKD	4.28	4.50	(41.4)%	CNY	0.29	0.36	0.33	12.8	10.2	11.1
883.HK (CNOOC)	O	HKD	23.58	31.70	(17.4)%	CNY	2.56	3.88	3.17	7.9	5.2	6.4
1605.JP (Inpex)	M	JPY	3,378.00	3,990.00	12.3%	JPY	330.82	449.77	412.65	10.2	7.5	8.2
857.HK (PetroChina)	O	HKD	9.79	13.20	(11.1)%	CNY	0.86	1.24	1.05	9.8	6.8	8.0
601857.CH (PetroChina)	M	CNY	9.95	12.60	(33.4)%	CNY	0.86	1.24	1.05	11.6	8.0	9.4
PTTEP.TB (PTTEP)	M	THB	135.50	145.00	(22.8)%	USD	0.46	0.67	0.54	9.0	6.2	7.7
STO.AU (Santos)	O	AUD	7.45	8.90	(47.2)%	USD	0.25	0.68	0.58	21.0	7.7	9.1
WDS.AU (Woodside Energy)	M	AUD	30.04	33.00	(28.0)%	USD	1.42	2.24	1.67	15.0	9.5	12.7
ASIAx			2,021.18									
JPL			2,634.92									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

The MOU between the US and Iran is a positive step towards normalization of oil flows, but plenty of risks lie ahead and we suspect there will be some twists and turns to come. Even if the agreement results in a permanent reopening of the Hormuz, it will take months for oil flows to get back to normal. As such we expect inventories will continue to draw in the short term. With oil prices touching US\$80/bbl, markets are expecting a normalization of flows sooner rather than later. We expect the market will remain under supplied through to the end of 3Q26 and only becoming balanced by 4Q26. While the market could be oversupplied next year, particularly if the UAE seeks to raise production to 5MMbbls/d, inventories will need to be replenished. Since the start of this crisis, roughly 1bn barrels has been lost from inventories which would require an additional 3MMbbls/d to restock. Moreover, some countries may choose to significantly increase inventories given the possibility of this event repeating itself at some point in the future. We maintain our oil price forecast of US\$90/bbl for this year (vs. US\$87/bbl year to date) and US\$78/bbl oil price for next year with a long term price of US\$75/bb based on marginal cost. With Asia oil and gas companies yielding a double-digit FCF yield at US\$80/bbl, any pull back in valuations as a result of a perceived ending of this crisis could be more of an opportunity to buy than to sell.

DETAILS

Near-term oil prices are primarily driven by supply and demand. The ~1bn bbl global stock draw has effectively tightened the market leaving inventories at extremely low levels. This creates a strong floor for prices, as any incremental recovery in flows initially goes toward restocking rather than satisfying incremental demand, keeping near term balances tight. We estimate a cumulative drawdown of ~1bn bbl globally, spanning ~300mmbbls from SPR, ~450mmbbls from China inventories, ~140mmbbls oil-on-water, and the balance from commercial stocks. This significant drawdown reinforces the importance of restocking once supply flows stabilise. We expect normalisation to take around six months. This reflects the time needed for credible minesweeping, vessel repositioning, insurance repricing, and rebuilding of port and loading schedules. In addition, tanker availability and backlog clearing could slow the pace of recovery. As such, flows should increase gradually rather than snap back to normal.

EXHIBIT 1: Global quarterly supply and demand balance. We expect a gradual shift from draws to builds as Hormuz reopens, with restocking driving the call on crude through 2027

MMbbls/d	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	27 vs 26
Total Demand	104.3	101.3	104.8	105.7	105.5	106.0	106.5	106.7	104.4	104.0	106.2	2.1
Total Supply	103.6	95.5	101.6	106.7	106.8	108.2	110.2	110.8	106.1	101.9	109.0	7.1
US	21.1	21.7	21.8	21.7	21.6	22.2	22.3	22.2	21.2	21.6	22.1	0.5
Russia	10.4	10.6	10.6	10.6	10.6	10.6	10.6	10.6	10.6	10.5	10.6	0.1
Other Non-OPEC	40.2	39.6	41.0	41.4	40.0	39.7	41.1	41.4	40.4	40.5	40.6	0.0
Non-OPEC Supply	71.6	71.9	73.4	73.7	72.1	72.5	73.9	74.2	72.1	72.6	73.2	0.6
Iraq	3.5	1.4	1.8	2.8	3.7	4.3	4.5	4.5	4.4	2.4	4.3	1.9
Kuwait	2.1	0.6	1.5	2.6	2.6	2.6	2.6	2.6	2.6	1.7	2.6	0.9
Nigeria	1.4	1.5	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	0.0
Saudi Arabia	9.3	7.0	8.3	10.0	10.0	10.0	10.0	10.0	9.5	8.7	10.0	1.3
UAE	3.2	2.5	3.3	3.7	4.0	4.3	4.6	4.9	3.5	3.2	4.5	1.3
Other OPEC-9	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	0.0
Total OPEC-9	21.0	14.3	17.9	22.1	23.2	24.1	24.6	24.9	22.8	18.8	24.2	5.4
Iran	3.6	3.2	3.3	3.5	3.5	3.5	3.5	3.5	3.4	3.4	3.5	0.1
Venezuela	0.8	1.0	1.0	1.0	1.0	1.0	1.0	1.0	0.9	1.0	1.0	0.0
Libya	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.2	1.3	1.3	0.0
OPEC Crude	26.7	19.9	23.4	27.8	29.0	30.0	30.4	30.7	28.4	24.5	30.0	5.6
OPEC NGLs	5.3	3.7	4.8	5.2	5.7	5.7	5.8	5.8	5.6	4.7	5.8	1.0
Surplus (Deficit)	(0.7)	(5.8)	(3.2)	1.0	1.3	2.2	3.7	4.1	1.7	(2.2)	2.8	5.0
Δ Global Inventory, MMbbls	(60.6)	(524.5)	(295.3)	91.7	119.7	198.3	336.5	373.5	613.7	(788.7)	1027.9	1816.6
Including:												
Oil-on-water (incl floating)	(140.2)	38.9	40.0	70.0	0.0	0.0	0.0	0.0	264.2	8.7	0.0	(255.5)
OECD SPR	(9.1)	(100.0)	(200.0)	0.0	50.0	50.0	100.0	100.0	3.4	(309.1)	300.0	(312.5)
China Inventories	8.3	(350.0)	(100.0)	50.0	100.0	100.0	100.0	100.0	112.3	(391.7)	400.0	(504.0)
Other Non-OECD	-7.5								84.7	(7.5)	0.0	(92.2)
Balance (Unallocated)	118.4	1.1	0.0	0.0	50.0	50.0	0.0	(100.0)	76.7	119.5	0.0	42.8
Less (-): Total Adjustment	(30.0)	(410.0)	(260.0)	120.0	200.0	200.0	200.0	100.0	541.3	(580.0)	700.0	(1121.3)
Δ OECD Commercial, MMbbls	(30.6)	(114.5)	(35.3)	(28.3)	(80.3)	(1.7)	136.5	273.5	72.4	(208.7)	327.9	(281.1)
Call on OPEC Crude	27.4	25.7	26.7	26.9	27.7	27.8	26.8	26.7	32.3	31.4	33.0	-0.9
Brent Oil Price Fct (\$/bbl)									69.1	90.3	78.0	21.2

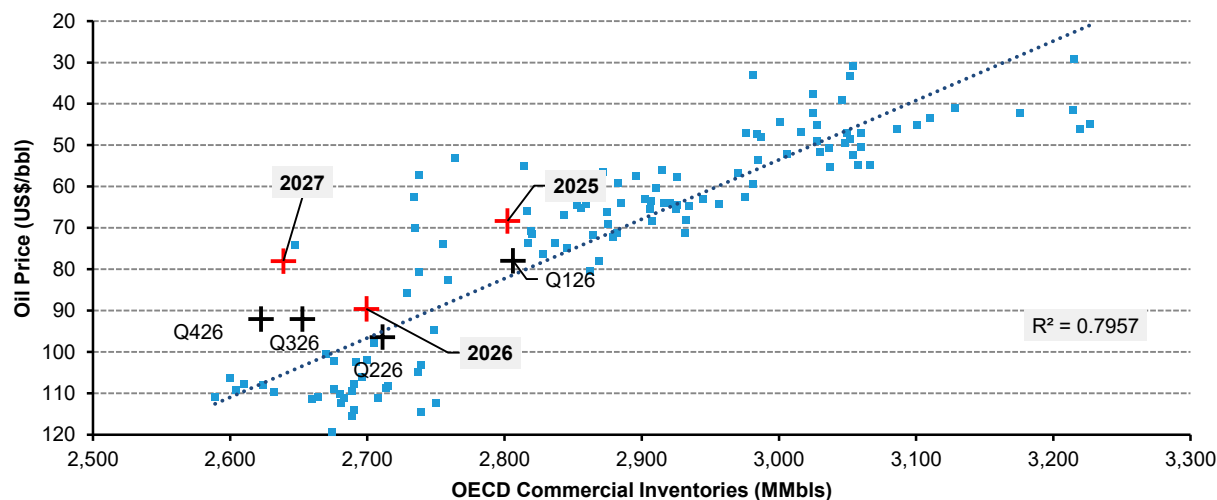
Total adjustment = Change in oil-on-water + Change in OECD SPR + Change in China inventories + Change in non-OECD inventories (excl. China) + Balance

Positive = build, Negative = draw

Source: IEA, Bernstein estimates and analysis

OECD inventories remain the key anchor for prices. Oil prices should remain supported near term in the \$80-90/bbl range in 2026 and 2027. Brent has averaged ~\$87/bbl YTD, and we expect prices to stay close to \$90/bbl this year amid tight inventories and gradual supply recovery. Looking ahead, we forecast ~\$78/bbl in 2027, with a stronger 1H and softer 2H profile. Longer term, we anchor at ~\$75/bbl.

EXHIBIT 2: Oil prices to remain supported near ~\$90/bbl in 2026 before easing to ~\$78/bbl as supply normalises and inventories rebuild

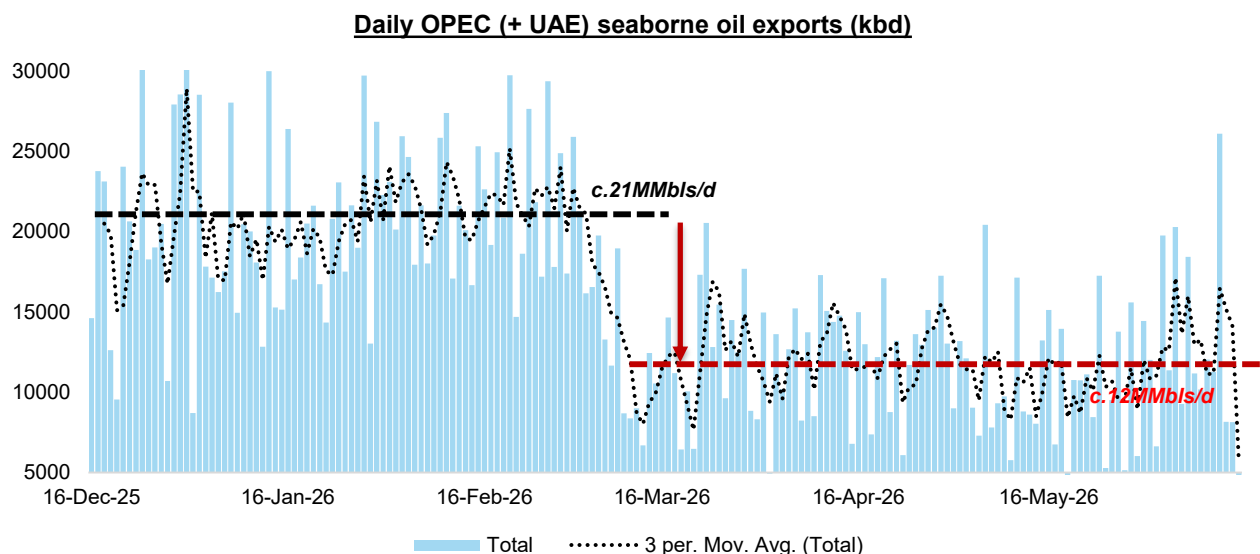


Source: Bloomberg, IEA, Bernstein analysis

OPEC SUPPLY

OPEC seaborne exports fell by ~14MMbbls/d at the peak of the disruption as Strait of Hormuz flows collapsed, forcing Gulf producers to curtail output. With reopening underway, exports should recover, but not immediately. Logistics, insurance, tanker availability, and minesweeping progress will likely constrain the pace of normalisation. As a result, supply recovery is likely to be gradual over several months rather than a sharp rebound.

EXHIBIT 3: OPEC seaborne exports fell by ~14MMbbls/d at peak disruption; recovery to be gradual with Hormuz reopening

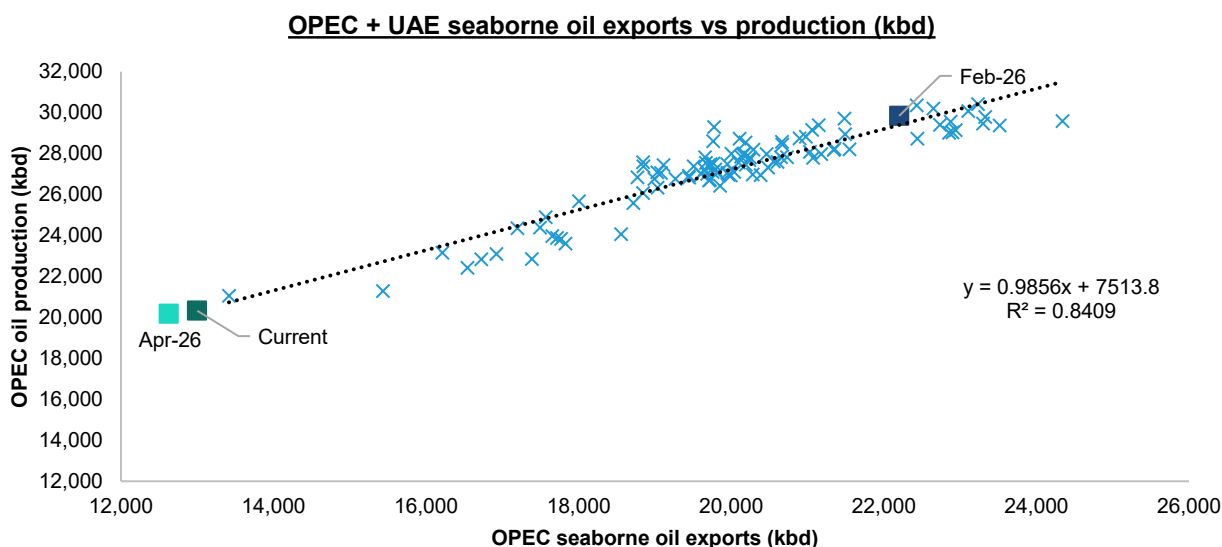


Source: Kpler, Bernstein analysis

The historical scatter plot of OPEC production versus seaborne exports shows an R-squared of c.0.85, indicating a very tight statistical relationship between the two series. The strength and stability of this give us confidence that current movements in exports provide a reliable read-through to underlying production trends. At current OPEC seaborne oil exports of around

13MMbbls/d, we expect production will be about 20MMbbls/d which is down 8-9MMbbls/d from February.

EXHIBIT 4: At current OPEC seaborne oil exports of around 13MMbbls/d, we expect production will be about 20MMbbls/d which is down 8-9MMbbls/d from February



Source: Kpler, Bernstein analysis

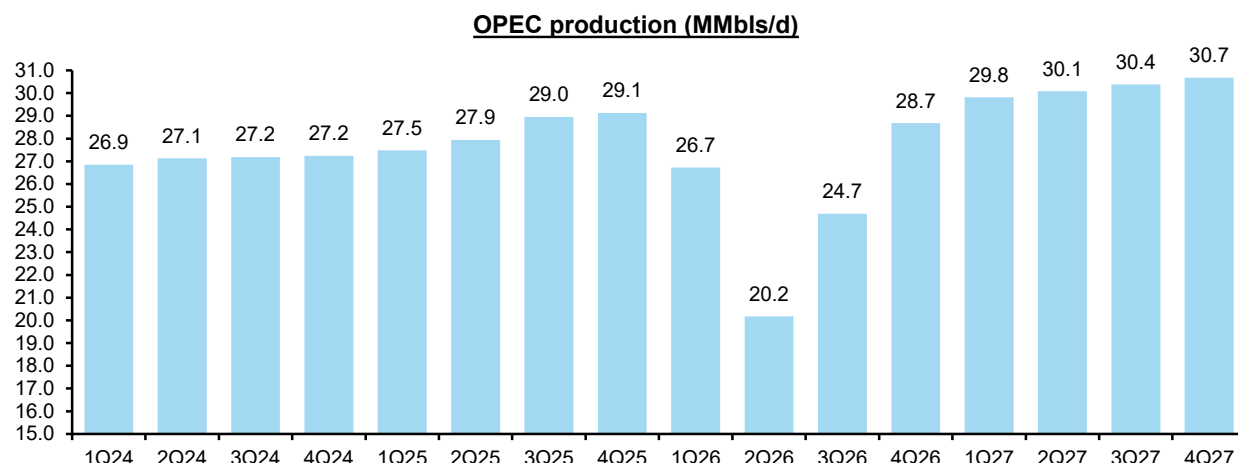
While the Strait of Hormuz will likely reopen for oil flows, there are still many uncertainties. Operational details are still unclear, including the timing of vessel returns, availability and pricing of war-risk insurance, and safety protocols for transiting ships. Minesweeping progress and oversight also remain key unknowns. As a result, while flows are set to resume, physical trade is unlikely to normalise quickly given lingering logistical and security constraints.

EXHIBIT 5: Expected restart timeline for Middle East countries

	Pre-Conflict Production (MMbbls/d)	April Production (MMbbls/d)	Difference (MMbbls/d)	Port Reopening	Repair + Maintenance	Well Engineering	Workforce Availability
Saudi Arabia	10.4	7.0	-3.4	3Q26+	2Q26+	2Q26+	2Q26+
UAE	3.6	2.5	-1.2	3Q26+	2Q26+	2Q26+	2Q26+
Iran	3.6	3.5	-0.1	3Q26+	2Q26+	3Q26+	2Q26+
Qatar	1.8	0.4	-1.4	3Q26+	3Q26+	3Q26+	3Q26+
Kuwait	2.5	0.6	-2.0	3Q26+	3Q26+	3Q26+	4Q26+
Iraq	4.5	1.4	-3.2	4Q26+	3Q26+	4Q26+	4Q26+
Total	26.5	15.2	-11.2				

Source: IEA, Bernstein analysis

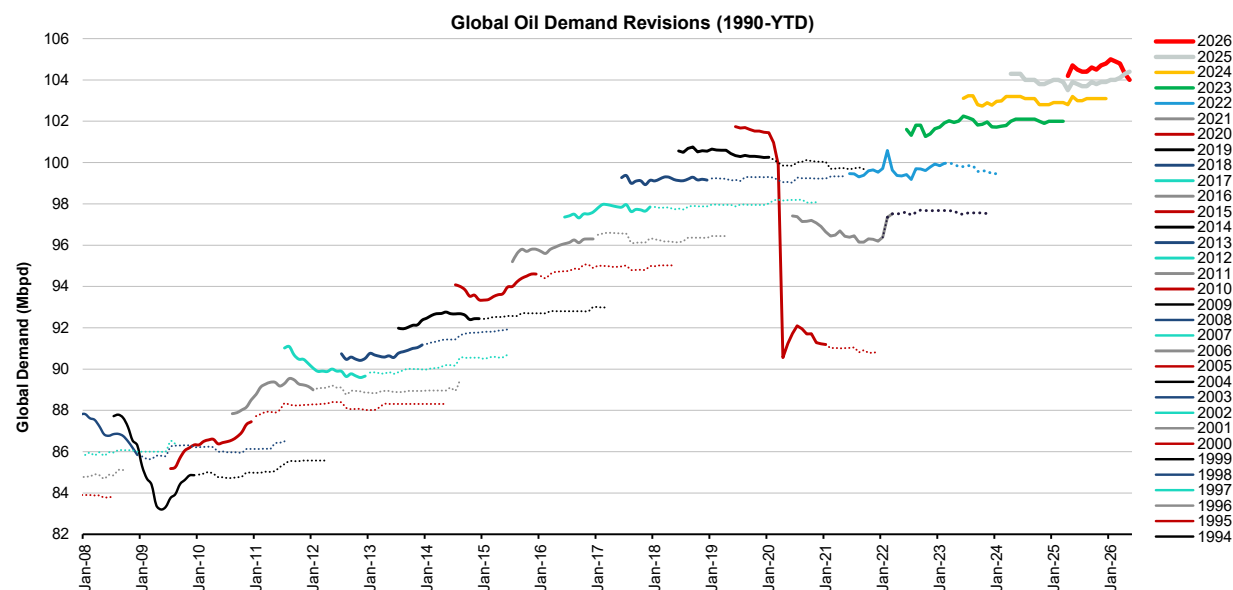
In our supply and demand model, we expect normalisation to take around six months. This reflects the time needed for credible minesweeping, vessel repositioning, insurance repricing, and rebuilding of port and loading schedules. In addition, tanker availability and backlog clearing will likely slow the pace of recovery. As such, flows should increase gradually rather than snap back to normal.

EXHIBIT 6: In our supply and demand model, we expect normalisation to take around six months

Source: IEA, Bernstein estimates (2Q26+) and analysis

OIL DEMAND

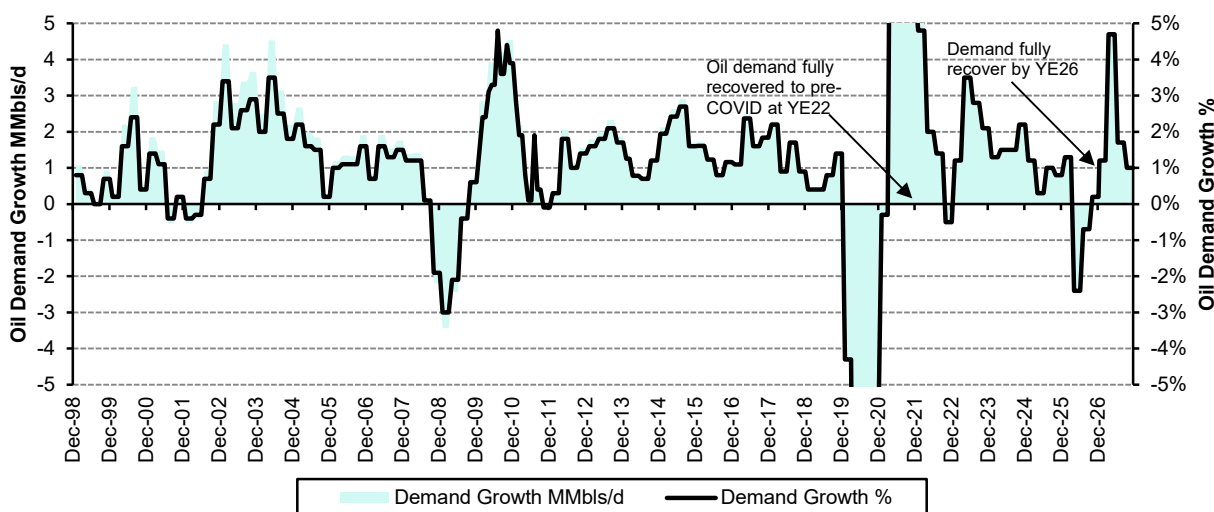
Global oil demand reflects both recent disruption and recovery. From the 2020 trough to 2023, demand rebounded by ~10MMbbls/d, underscoring strong underlying consumption momentum post COVID. However, the recent supply shock and elevated prices from the Hormuz disruption have driven some demand destruction, particularly in price-sensitive regions. As supply normalises, we assume demand gradually recovers alongside improving physical availability.

EXHIBIT 7: The IEA revised down global oil demand by 0.3MMbbls/d to 104.0MMbbls/d for 2026 implying demand will fall by 0.4MMbbls/d y-o-y

Source: IEA, Bernstein analysis

For 2026, we expect global oil demand to decline modestly to ~104.0MMbbls/d from 104.4MMbbls/d in 2025, reflecting the impact of supply disruption and higher prices. As flows through Hormuz normalise over the next six months, demand should recover in tandem with improving supply conditions, before strengthening more meaningfully into 2027.

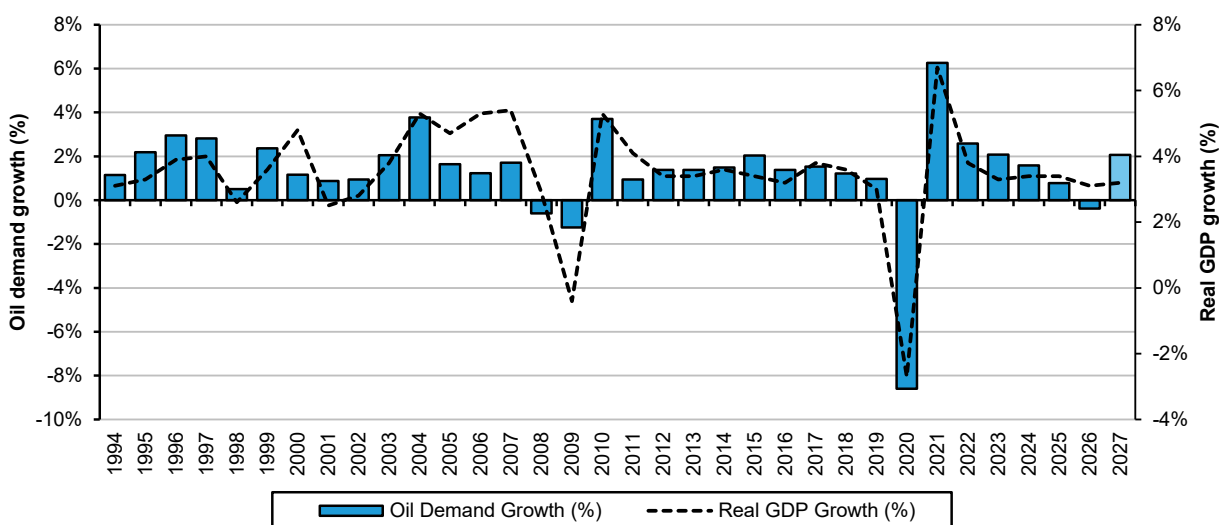
EXHIBIT 8: As flows through Hormuz normalise over the next six months, demand should recover in tandem with improving supply conditions, before strengthening more meaningfully into 2027



Source: IEA, Bernstein estimates (2026+) and analysis

Oil demand remains closely linked to global GDP growth, with macro conditions continuing to shape the trajectory. While growth has moderated, the demand outlook remains supported by resilient economic activity in key regions. Our demand outlook continues to be driven by regional GDP expectations and oil intensity trends. While short-term volatility reflects the impact of supply disruption, the medium-term trajectory remains intact, with demand growth resuming as market conditions normalise and inventories begin to rebuild.

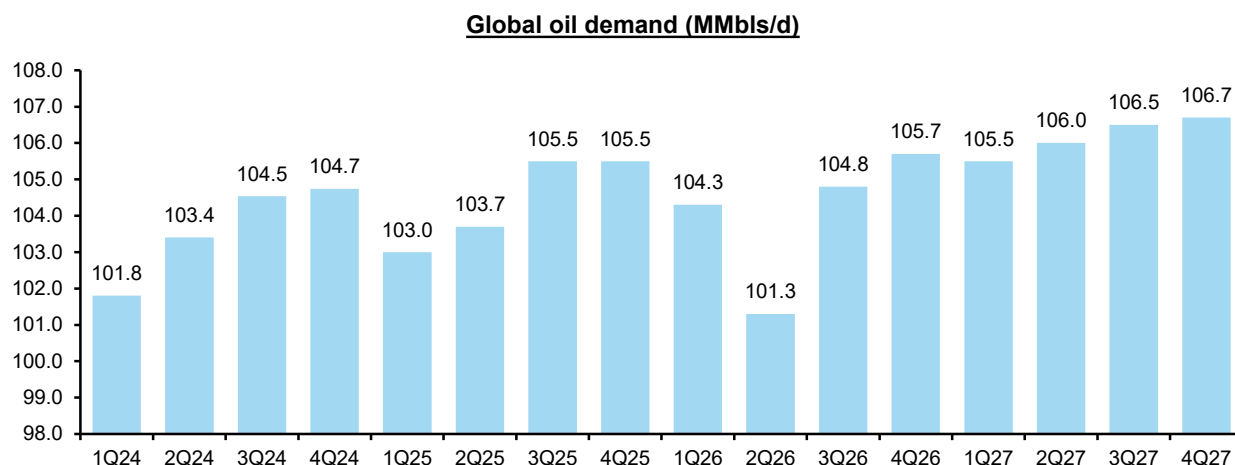
EXHIBIT 9: While short-term volatility reflects the impact of supply disruption, the medium-term trajectory remains intact, with demand growth resuming as market conditions normalise and inventories begin to rebuild



Source: IMF, IEA, Bernstein estimates (2026+) and analysis

We forecast demand to rise to ~106.2MMbbls/d in 2027, driven by cyclical recovery and continued structural growth. This assumes normalisation of trade flows, easing price pressures, and a return to more typical consumption patterns after a period of disruption-driven demand suppression.

EXHIBIT 10: We forecast demand to rise to ~106.2MMbbls/d in 2027, driven by cyclical recovery and continued structural growth

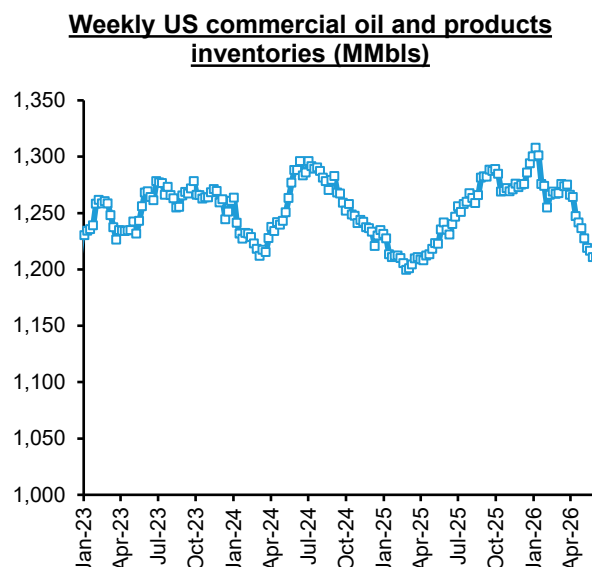


Source: IEA, Bernstein estimates (2026+) and analysis

WEEKLY OIL INVENTORIES

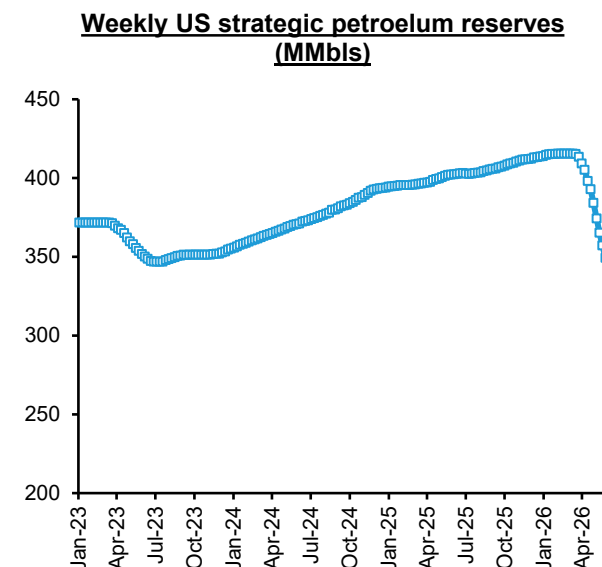
US inventories have tightened materially since mid-April, reflecting both supply disruption and strong refinery runs. Combined draws from commercial stocks and the SPR have averaged ~15MMbbls per week (~2MMbbls/d), pushing inventories toward multi-year lows. The US continues to act as a key buffer, partially offsetting global supply shocks through inventory releases and resilient domestic production.

EXHIBIT 11: US commercial crude and product inventories have been drawing since mid-April as the market tightens



Source: EIA, Bloomberg, Bernstein analysis

EXHIBIT 12: US SPR inventories draws are helping absorb part of the global supply shock

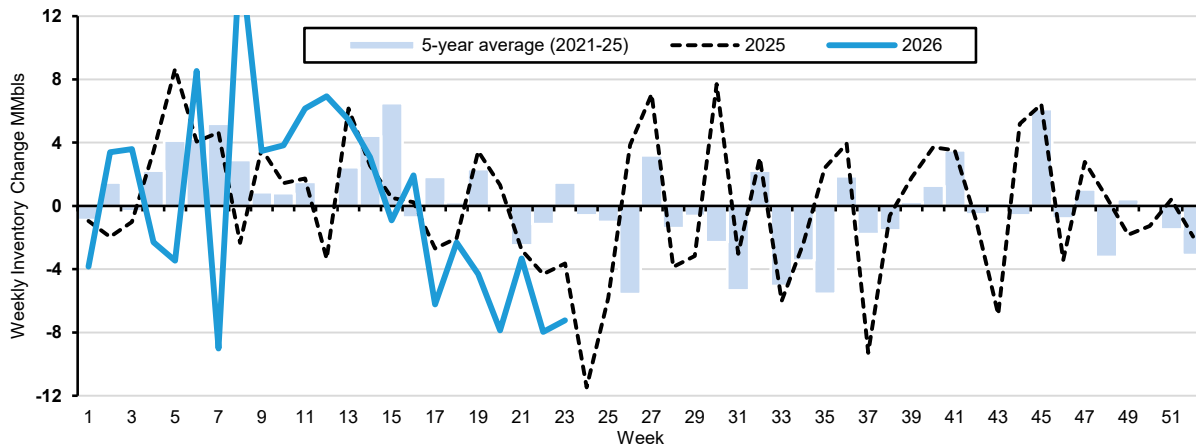


Source: EIA, Bloomberg, Bernstein analysis

The combination of declining commercial inventories and continued SPR drawdowns indicates the US is helping absorb part of the global supply shock, even as higher domestic supply partly offsets it. This matters because stronger US production can slow the pace of global tightening, but it does not fully replace the loss of Middle East barrels in either quality or logistics, especially

for Asian buyers.

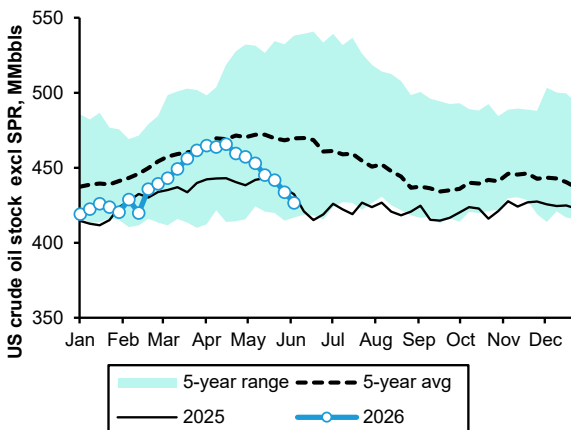
EXHIBIT 13: **US oil inventories are drawing counter-cyclically versus historical 5-year average**



Source: Bloomberg, Bernstein analysis

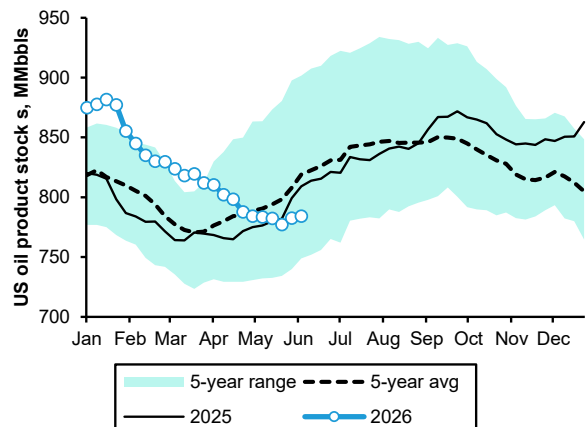
Recent US weekly data suggest commercial crude inventories have been drawing as the market works through tighter seaborne supply and stronger refinery runs, while product balances have also become more sensitive to disruptions in global crude and feedstock flows.

EXHIBIT 14: **US commercial crude oil stocks are below the lower end of the 5-year range**



Source: EIA, Bernstein analysis

EXHIBIT 15: **US product inventories have fallen materially**



Source: EIA, Bernstein analysis

We track observable weekly inventory data as a leading indicator for monthly OECD commercial inventories. The correlation between weekly changes in US commercial crude and product inventories and broader OECD inventory movements has historically been strong. Since mid-April, weekly US commercial inventories have been drawing at an accelerating pace, with crude stocks down sharply and product inventories also weakening materially as refiners run hard and exports remain elevated. Based on the weekly data, we expect OECD commercial inventories to have fallen by around 52MMbbls in April, one of the largest monthly draws in recent years. Preliminary, we expect OECD commercial inventories will draw by another 31MMbbls in May.

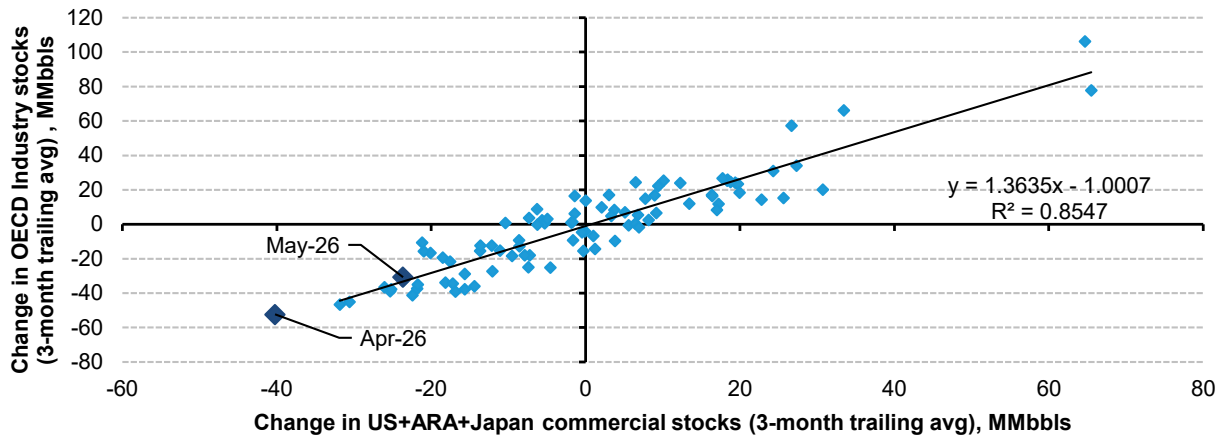
EXHIBIT 16: Global observed weekly inventories are drawing across OECD and visible floating storage as disrupted Gulf flows force stock adjustments

For the week beginning	OECD Inventories				Non-OECD inventories			
	US total inventories excl SPR	ARA product inventories	Japan commercial stocks	US + ARA + Japan stocks	Singapore product inventories	Floating inventories	UAE product inventories	Singapore + Floating +UAE
	MMbbls	MMbbls	MMbbls	MMbbls	MMbbls	MMbbls	MMbbls	MMbbls
10/5/2025	1289	46	137	1472	49	81	16	147
10/12/2025	1285	46	137	1468	47	92	16	155
10/19/2025	1269	44	137	1450	48	91	16	155
10/26/2025	1269	44	137	1450	45	104	16	166
Oct-25	1269	44	137	1450	45	104	16	166
11/2/2025	1272	45	137	1454	48	91	19	158
11/9/2025	1269	46	135	1450	51	104	22	177
11/16/2025	1271	45	133	1449	47	113	21	180
11/23/2025	1276	44	138	1458	46	136	21	203
11/30/2025	1273	44	136	1453	48	158	23	229
Nov-25	1276	44	138	1458	46	136	21	203
12/7/2025	1275	45	133	1453	49	127	21	197
12/14/2025	1276	46	133	1454	46	138	20	204
12/21/2025	1286	46	129	1461	48	136	19	202
12/28/2025	1294	45	137	1476	49	149	19	217
Dec-25	1294	45	137	1476	49	149	19	217
1/4/2026	1300	45	134	1479	48	145	20	213
1/11/2026	1308	47	130	1485	48	149	21	219
1/18/2026	1301	48	130	1479	51	128	23	202
1/25/2026	1276	47	130	1452	49	134	21	205
Jan-26	1276	47	130	1452	49	134	21	205
2/1/2026	1274	47	130	1451	49	127	20	196
2/8/2026	1255	47	126	1427	48	118	21	186
2/15/2026	1266	47	129	1442	45	110	21	176
2/22/2026	1269	45	131	1445	51	108	21	179
Feb-26	1269	45	131	1445	51	108	21	179
3/1/2026	1267	46	127	1440	50	114	21	185
3/8/2026	1267	45	126	1438	50	91	16	157
3/15/2026	1276	42	124	1441	47	88	14	150
3/22/2026	1274	41	120	1434	50	85	14	149
3/29/2026	1275	41	118	1434	50	139	13	202
Mar-26	1274	41	120	1434	50	85	14	149
4/5/2026	1266	38	117	1421	50	135	13	198
4/12/2026	1264	36	117	1418	52	100	10	162
4/19/2026	1247	36	117	1401	50	112	6	169
4/26/2026	1241	36	117	1394	47	140	7	194
Apr-26	1241	36	117	1394	47	140	7	194
5/3/2026	1236	35	117	1388	52	141	7	199
5/10/2026	1227	35	117	1379	50	98	7	154
5/17/2026	1219	35	117	1371	46	98	7	150
5/24/2026	1219	34	117	1370	45	85	6	135
May-26	1219	34	117	1370	45	85	6	135

MoM change in inventories	OECD Inventories				Non-OECD inventories			
	US total inventories excl SPR	ARA product inventories	Japan commercial stocks	US + ARA + Japan stocks	Singapore product inventories	Floating inventories	UAE product inventories	Singapore + Floating +UAE
	MMbbls	MMbbls	MMbbls	MMbbls	MMbbls	MMbbls	MMbbls	MMbbls
Oct-25	-17.8	-2.1	0.0	-19.9	-5.3	20.6	3.0	18.3
Nov-25	6.6	0.8	0.4	7.8	1.3	31.2	4.5	37.0
Dec-25	17.9	0.1	-0.1	17.9	2.9	13.2	-1.9	14.2
Jan-26	-18.3	2.4	-7.6	-23.5	-0.5	-14.6	2.5	-12.6
Feb-26	-6.7	-1.7	1.3	-7.0	1.8	-26.7	-0.7	-25.6
Mar-26	4.7	-4.6	-11.2	-11.1	-0.7	-22.8	-6.8	-30.3
Apr-26	-32.3	-5.2	-2.8	-40.2	-2.9	54.8	-7.0	44.8
May-26	-22.4	-1.2	0.0	-23.6	-2.2	-55.0	-1.5	-58.7

Source: EIA, Bloomberg, PAJ, Bernstein analysis

EXHIBIT 17: Based on historical regressions, there is a 1.3x correlation between OECD inventories and US+ARA+Japan stocks (which we track closely)

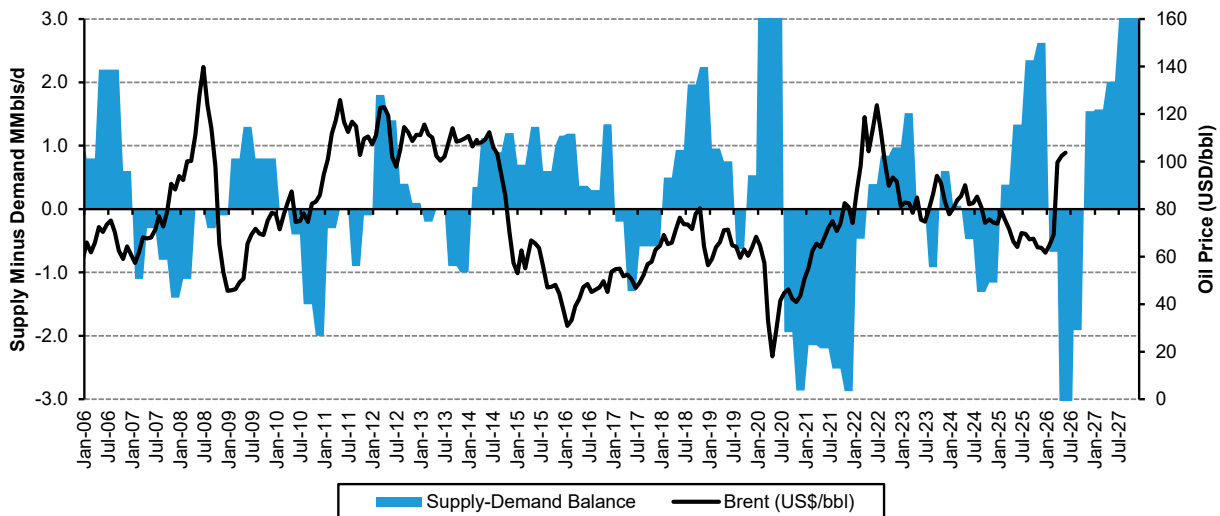


Source: EIA, Bloomberg, PAJ, IEA, Bernstein estimates and analysis

OIL SUPPLY AND DEMAND

Near-term oil prices are primarily driven by supply and demand. The ~1bn bbl global stock draw has effectively tightened the market despite demand softness, leaving inventories at depleted levels. This creates a strong floor for prices, as any incremental recovery in flows initially goes toward restocking rather than satisfying incremental demand, keeping prompt balances tight.

EXHIBIT 18: Demand and supply outlook based on the latest IEA data



OPEC output based on Bernstein estimates

Source: IEA, Bernstein analysis

The oil market has already absorbed c.1bn bbls of supply shock through inventories. We estimate a cumulative drawdown of ~1bn bbl globally, spanning ~300mmmbbls from SPR, ~450mmmbbls from China inventories, ~140mmmbbls oil-on-water, and the balance from commercial stocks. This significant drawdown reinforces the importance of restocking once supply flows stabilise. We expect normalisation to take around six months. This reflects the time needed for credible minesweeping, vessel repositioning, insurance repricing, and rebuilding of port and loading schedules. In addition, tanker availability and backlog clearing will slow the pace of recovery. As such, flows should increase gradually rather than snap back to normal.

EXHIBIT 19: **Balances shift from deficit to surplus, but inventory rebuilding sustains crude demand through 2027**

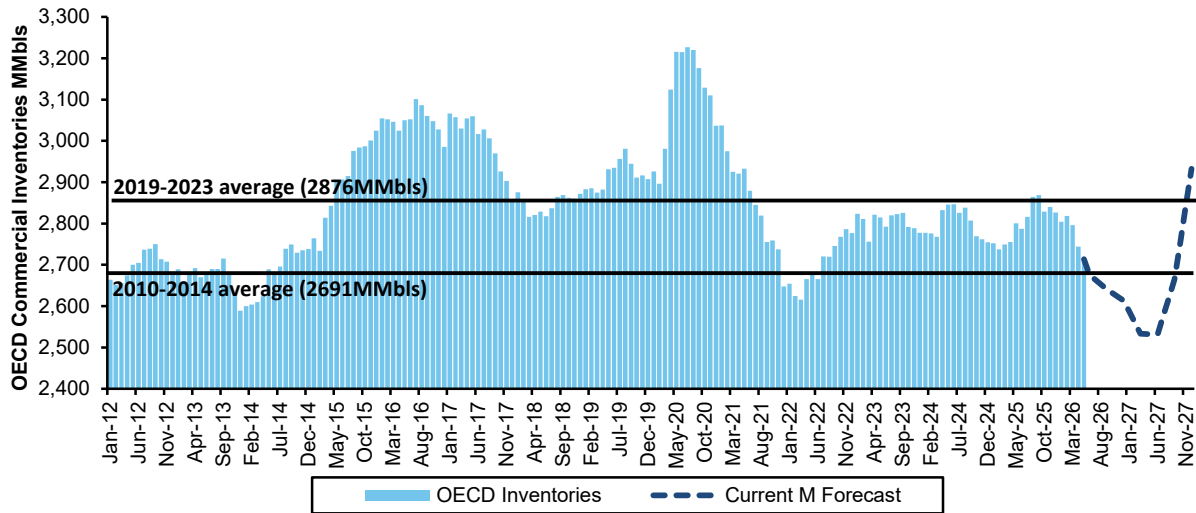
MMbbls/d	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	27 vs 26
Total Demand	104.3	101.3	104.8	105.7	105.5	106.0	106.5	106.7	104.4	104.0	106.2	2.1
Total Supply	103.6	95.5	101.6	106.7	106.8	108.2	110.2	110.8	106.1	101.9	109.0	7.1
US	21.1	21.7	21.8	21.7	21.6	22.2	22.3	22.2	21.2	21.6	22.1	0.5
Russia	10.4	10.6	10.6	10.6	10.6	10.6	10.6	10.6	10.6	10.5	10.6	0.1
Other Non-OPEC	40.2	39.6	41.0	41.4	40.0	39.7	41.1	41.4	40.4	40.5	40.6	0.0
Non-OPEC Supply	71.6	71.9	73.4	73.7	72.1	72.5	73.9	74.2	72.1	72.6	73.2	0.6
Iraq	3.5	1.4	1.8	2.8	3.7	4.3	4.5	4.5	4.4	2.4	4.3	1.9
Kuwait	2.1	0.6	1.5	2.6	2.6	2.6	2.6	2.6	2.6	1.7	2.6	0.9
Nigeria	1.4	1.5	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	0.0
Saudi Arabia	9.3	7.0	8.3	10.0	10.0	10.0	10.0	10.0	9.5	8.7	10.0	1.3
UAE	3.2	2.5	3.3	3.7	4.0	4.3	4.6	4.9	3.5	3.2	4.5	1.3
Other OPEC-9	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	0.0
Total OPEC-9	21.0	14.3	17.9	22.1	23.2	24.1	24.6	24.9	22.8	18.8	24.2	5.4
Iran	3.6	3.2	3.3	3.5	3.5	3.5	3.5	3.5	3.4	3.4	3.5	0.1
Venezuela	0.8	1.0	1.0	1.0	1.0	1.0	1.0	1.0	0.9	1.0	1.0	0.0
Libya	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.2	1.3	1.3	0.0
OPEC Crude	26.7	19.9	23.4	27.8	29.0	30.0	30.4	30.7	28.4	24.5	30.0	5.6
OPEC NGLs	5.3	3.7	4.8	5.2	5.7	5.7	5.8	5.8	5.6	4.7	5.8	1.0
Surplus (Deficit)	(0.7)	(5.8)	(3.2)	1.0	1.3	2.2	3.7	4.1	1.7	(2.2)	2.8	5.0
Δ Global Inventory, MMbbls	(60.6)	(524.5)	(295.3)	91.7	119.7	198.3	336.5	373.5	613.7	(788.7)	1027.9	1816.6
Including:												
Oil-on-water (incl floating)	(140.2)	38.9	40.0	70.0	0.0	0.0	0.0	0.0	264.2	8.7	0.0	(255.5)
OECD SPR	(9.1)	(100.0)	(200.0)	0.0	50.0	50.0	100.0	100.0	3.4	(309.1)	300.0	(312.5)
China Inventories	8.3	(350.0)	(100.0)	50.0	100.0	100.0	100.0	100.0	112.3	(391.7)	400.0	(504.0)
Other Non-OECD	-7.5								84.7	(7.5)	0.0	(92.2)
Balance (Unallocated)	118.4	1.1	0.0	0.0	50.0	50.0	0.0	(100.0)	76.7	119.5	0.0	42.8
Less (-): Total Adjustment	(30.0)	(410.0)	(260.0)	120.0	200.0	200.0	200.0	100.0	541.3	(580.0)	700.0	(1121.3)
Δ OECD Commercial, MMbbls	(30.6)	(114.5)	(35.3)	(28.3)	(80.3)	(1.7)	136.5	273.5	72.4	(208.7)	327.9	(281.1)
Call on OPEC Crude	27.4	25.7	26.7	26.9	27.7	27.8	26.8	26.7	32.3	31.4	33.0	-0.9
Brent Oil Price Fct (\$/bbl)									69.1	90.3	78.0	21.2

Total adjustment = Change in oil-on-water + Change in OECD SPR + Change in China inventories + Change in non-OECD inventories (excl. China) + Balance

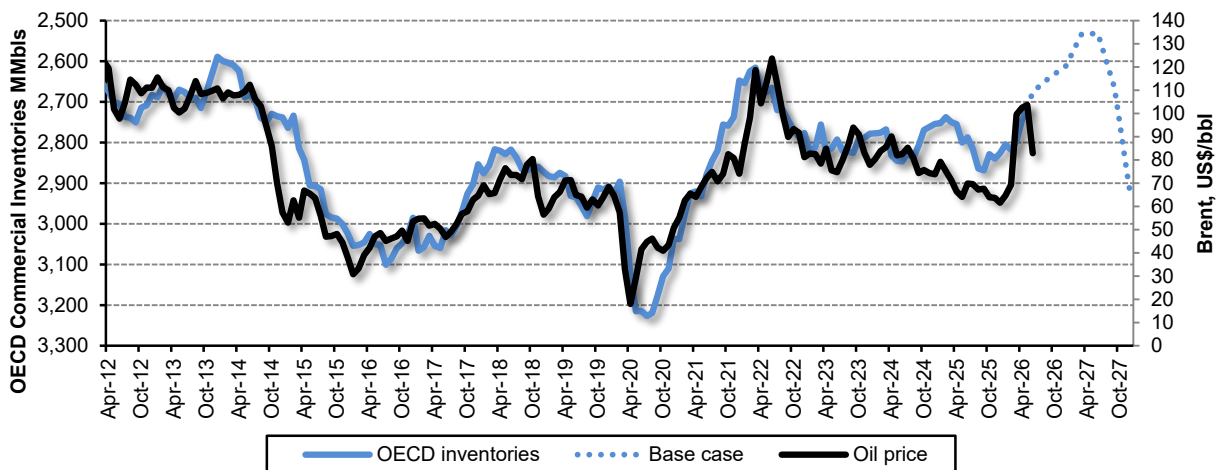
Positive = build, Negative = draw

Source: IEA, Bernstein estimates and analysis

By 2027, we expect the market to shift into a ~2.8mmmbbl/d (c.1bn bbls) surplus, although we anticipate much of this will be absorbed by inventory restocking. This is premised on oil demand returning to normal of c.106MMbbls/d next year and UAE growing to 5MMbbls/d of supply by year end 2027. Following the recent drawdowns, buyers are likely to rebuild stocks, which should absorb part of the excess supply. We expect broadly inventories will return to pre-conflict levels by end-2027.

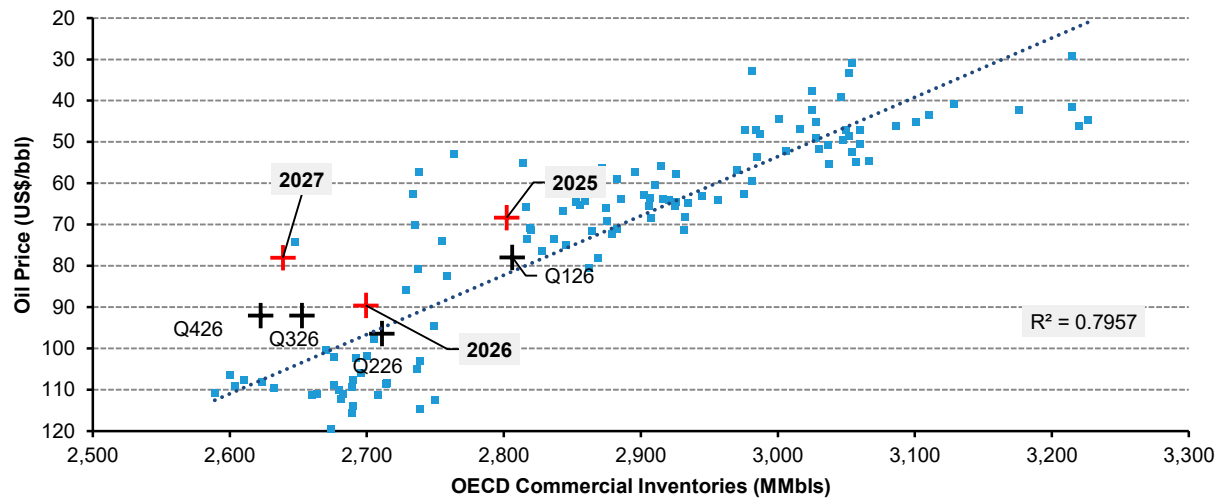
EXHIBIT 20: We expect OECD commercial inventories to draw near term before rebuild next year

Source: IEA, Bloomberg, Bernstein analysis and estimates

EXHIBIT 21: Oil prices are highly correlated to OECD commercial inventories

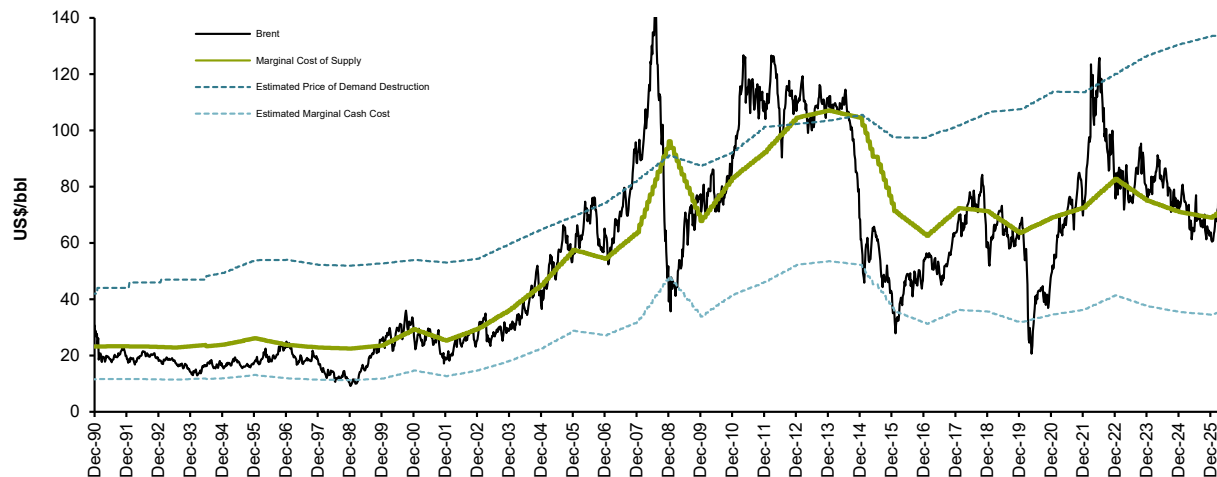
Source: Bloomberg, IEA, Bernstein estimates and analysis

OECD inventories remain the key anchor for prices. Following the ~1bn bbl global drawdown, the forward path for oil is now driven by both supply recovery and inventory rebuilding. While we expect a looser underlying balance by 2027 (~2MMbbls/d surplus), restocking demand should absorb part of this excess, keeping the market more balanced than headline supply-demand suggests.

EXHIBIT 22: Oil prices to average ~\$90/bbl in 2026 before easing to ~\$78/bbl in 2027 as inventories rebuild

Source: Bloomberg, IEA, Bernstein analysis

Oil prices should remain supported near term in the \$80-90/bbl range in 2026 and 2027. Brent has averaged ~\$87/bbl YTD, and we expect prices to stay close to \$90/bbl this year amid tight inventories and gradual supply recovery. Looking ahead, we forecast ~\$78/bbl in 2027, with a stronger 1H and softer 2H profile. Longer term, we anchor at ~\$75/bbl.

EXHIBIT 23: Spot oil is trading in the \$80 range versus current marginal cost of oil of \$77/bbl

Source: Corporate Reports, Bloomberg, Bernstein analysis and estimates

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